Statement by President von der Leyen at the joint press conference with President Costa following the meeting of the European Council of October 2026

Brussels, 16 October 2026

Good evening,

We have had a long and dense European Council. Let me touch on some of the main topics, starting with European competitiveness and I will go straight into energy. Households and industry are paying the price for a war far beyond our borders. Since the start of the war in the Middle East, costs for imported fossil fuel have risen by EUR 106 billion, without a single additional molecule of energy. Gas prices have risen around 140% since late February, and diesel prices have doubled. This is the reality we have to deal with today – knowing there is no silver bullet because the Member States all have different energy mixes, we need a whole puzzle of actions. So, we need to act both at global and European level. Six points: the release of 100 million barrels of oil and diesel over the next four months, the International Energy Agency is starting to manage this release. The extension in scope and time of our temporary State Aid Framework that we put in place in February. The postponement of the implementation of the Methane Regulation by one year. The launch of a strategic dialogue on European refineries, mainly to work on having more refineries in the EU and lower the prices. We will upgrade our taskforce that is aggregating the demand and so far doing matchmaking, but now we want the taskforce to work in a way that they task a market operator to go to the global market and buy the necessary energy sources with the full market power of aggregation of the European Union. This is in the short term.

For the mid-term: as long as Europe depends on imported oil and gas, our prosperity remains exposed to events beyond our control. This is why it is so important to stay the course of the transition that is a transition towards affordable, clean and homegrown energy source's - nuclear and renewables. We must change the way we consume energy, that is replacing foreign fossil fuels by electricity produced in Europe. And we must modernise and improve our grids network. The cheap energy has to go where it is needed. Last year, we installed 80 gigawatts of renewable capacity, but six times more capacity is still waiting to be connected. The potential to improve the grids and the network is enormous. That is why it is so important to finalise the Grids Package. Finally, a word on carbon pricing – the Emission Trading System (ETS). In July, the Commission delivered on its proposal to modernize ETS 1 – which is now with the co-legislators. The leaders gave strategic guidance to the Ministers and underlined the urgency to conclude the file.

Another topic at the heart of our competitiveness is trade imbalances. We focused on EU-China economic relations and trade, including the imbalances, and there is remarkable unity among leaders on this. We all agree that China is an important trade partner for the EU. We want this partnership to be fair, balanced and mutually beneficial. But that requires substantial rebalancing – and fast. In 2025, our trade deficit with China was one billion euro per day. In 2026, it will be even higher. This is structural, and it is unsustainable. We all agree that it cannot go on. We need to act on three different pillars. First, we act through dialogue. But dialogue must deliver. The consultations in Beijing have delivered first results: China's first ever agreement to moderate its exports of hybrid vehicles; better market access for several EU industrial and agri-food exports; and more predictability on export controls, in particular for rare earths and magnets.

But progress in one sector, the EV and hybrid sector, cannot fix a structural imbalance. That is why we need to act also on the second pillar, using the trade instruments that we have in place. Leaders clearly supported this. Our industries have called for action. We have heard them, and we will respond. Including with more safeguards.

Third, we will work on new instruments to address structural imbalances. And the underlying principle

is simple: no more dependencies on a single supplier. In December, the Commission will present DiversifyEU. It will be country-agnostic and will mean faster de-risking by companies. We will also propose a Solidarity Mechanism. It will set out what we can do when one of us is subject to coercion or retaliation. And building on the Franco-German paper, which I very much welcomed, we will develop a new instrument for decisive action by limiting the access to the Single Market, where this is in the Union's interest, fast and immediately. But let me be clear: new tools are not an alternative to the full use of existing instruments. We should use them to the fullest just as it is needed in the different situation. And as we move forward, EU unity remains essential, and this was very much shown in this European Council.

And that brings me now to MFF. This budget was explicitly designed to address our priorities, and I refer to priorities that have been discussed in each and every EUCO over the last seven years. Leaders in every EUCO came out and asked for more Europe on these priorities. No one questions what needs to be done, but how to achieve these priorities was the centre of our discussion.

Another point I want to address is about flexibilities. This is the one lesson we have painfully learnt over the last seven years. We are in a very fast changing, volatile world, there will be more crises, we just do not know what is going to happen. I have experienced in my term, what that means: COVID, fires, floods, droughts, earthquakes, the war Ukraine, energy crisis, wars in our continent and in our neighbourhood. The list is long. We could only act in these crises because of the flexibilities in the budget. That is the instrument with which you can respond. In each crisis, everybody was calling for Europe to step in – and we did so because we had flexibilities. And believe me, it was not enough. And this was actually the reason why we had to revise this budget in the midterm. Now, the new proposal comes with even less flexibilities – The Negobox has a 50 % cut compared to today. In other words: this proposal puts us in a straitjacket. 99,5 % would be fixed today – for the next ten years. While we know the world will not stay as it is today.

Finally, the question before us is not which priorities we should abandon, but how to finance these priorities. This is why we need to work actively on an ambitious package of new own resources. The budgetary equation will only function with new own resources and we had broad discussions on the different options.

Let me now move to the two topics discussed today. I will start with Ukraine. President Zelenskyy participated this morning, and it was a good discussion. Our support matters more than ever, with Russia testing Ukraine's resilience and endangering its economy. First, on defence, we are accelerating support for Ukraine's most urgent needs. The Ukraine Support Loan is delivering. We have disbursed almost EUR 16 billion under the defence leg of the loan. Second, we continue to support Ukraine's budget. A further EUR 17 billion can still be disbursed before the end of the year. Provided Ukraine delivers the necessary reforms. Europe is doing a lot. But the reality is simple, as long as this war continues, Ukraine's financing needs will keep growing. Right now, the EU and its Member States account for 80 % of external aid to Ukraine. And we will continue to lead, but we urgently need other partners to step up. At the same time, we are engaging with Ukraine and the United States in discussions on how to end the war. President Zelenskyy briefed leaders on the latest developments. As throughout these five years of war, no one wants peace more than the people of Ukraine. And it is our duty to support them to be in the position to find a just and sustainable peace for Ukraine.

And now the final topic, migration. We have made tremendous progress, and it is important to recognise that, and this was also the underlying tone in the whole debate. After years of hard work, the Pact on Migration and Asylum is now fully applicable. Member States have made significant progress in its implementation. We have mandatory screening and border procedures in place – the same standardised procedure across all Member States. We have a new Return Regulation, and we have strong partnerships along all key migratory routes. The results speak for themselves, let me give you four figures: illegal border crossings have decreased by over 56 % over the past two years – so more than half-, and 34 % this year so far. Asylum applications are also falling – 16 % so far – with several Member States registering historic lows. The return rate is now over 30 % with the new Return Regulation. These trends need to continue. To remain successful, we must continue to act together.

Today, I presented three priorities: first, we need to put all our efforts into the full implementation of the Pact on Migration and Asylum, with responsibility and solidarity going hand in hand. Important progress was made but efforts need to continue. Second, we need to strengthen the management

and protection of our external borders. We will propose to reinforce Frontex, giving it the capacity to support Member States whenever and wherever needed. Third, we must be better prepared for crisis at our external borders. Because we see a new phenomenon of states and non-state actors engineering sudden or mass movements of people with a clear goal: to overwhelm authorities, cause panic, divide us. Such situations are emergencies and they call for emergency tools. This is why we, as a Commission, will propose a new European Emergency Response Framework. It will equip Member States with the means to respond swiftly to serious threats at our external borders and protect our internal security. Our message is clear: we will always uphold our values and fundamental rights, but we will never compromise on protecting our borders. We will now work closely with Member States and come forward with the framework by the end of the year.

After these two days of discussions, the way ahead is clearer. We will continue to deliver.

Thank you.

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